

OAK SHIELD SERVICE LLC

Background Check and Screening Policy

Document ID:	OSS-HR-POL-002
Effective Date:	_____
Revision:	1.0
Approved By:	Xinchao Xi, President
Policy Owner:	_____ (Policy Administrator)

1. PURPOSE

Oak Shield Service LLC ("Oak Shield" or "the Company") performs work on commercial, industrial, mission-critical, and client-controlled premises — including data centers, cold-storage facilities, hospitality projects, retail centers, and government-adjacent sites. Many of these clients, general contractors, and project owners require contractor personnel to clear a documented background screening as a condition of site access.

This Policy establishes the Company's program for conducting employment background screening in a manner that is (a) compliant with the federal Fair Credit Reporting Act ("FCRA"), Equal Employment Opportunity Commission ("EEOC") guidance, and applicable Texas law; (b) sufficient to meet the requirements of our clients and prequalification platforms (including ISNetworld, Avetta, and Veriforce); and (c) protective of the safety and property of our employees, clients, and the public.

2. SCOPE

This Policy applies to:

- (a) All applicants who have received a conditional offer of employment with the Company;
- (b) All current employees, where re-screening is required by a specific client, project owner, or applicable law;
- (c) All employees assigned to projects or client sites that require background-cleared personnel; and
- (d) Subcontractors and their personnel performing work on Oak Shield project sites, through flow-down contract requirements.

3. CONSUMER REPORTING AGENCY

The Company shall engage a third-party Consumer Reporting Agency ("CRA") accredited by the Professional Background Screening Association (PBSA) — currently Sterling Talent Solutions, Inc. or Checkr, Inc. — to perform all background screening. The CRA shall conduct each screening in compliance with the FCRA, all applicable state and local laws, and the CRA's own quality and dispute-resolution standards.

4. STANDARD SCREENING PACKAGE

All applicants receiving a conditional offer of employment shall be required to clear, at minimum, the following standard package:

4.1 Social Security Number Trace and Address History. 7-year address history used to direct criminal searches.

4.2 National Criminal Database Search.

4.3 County Criminal Court Search. All counties of residence in the prior 7 years; jurisdiction of current residence; jurisdiction of work location.

4.4 Federal Criminal Court Search. All federal districts of residence in the prior 7 years.

4.5 National Sex Offender Registry Search.

4.6 Global Watchlist / OFAC Sanctions Search. Including SAM.gov debarment list, where applicable.

4.7 Employment Verification. Prior 7 years, all employers.

4.8 Education Verification. Highest claimed degree or trade credential.

4.9 Professional License Verification. Where the position requires a license — e.g., Texas TDLR electrical license, EPA 608 certification, master MEP license, OSHA 30, CDL.

5. ENHANCED SCREENING (POSITION-SPECIFIC)

The following enhanced screening shall be required for designated positions:

5.1 Motor Vehicle Record (MVR).

Required for all employees who operate Company-owned, leased, or rented vehicles or drive personally owned vehicles for Company business. Reviewed initially and annually thereafter.

5.2 Drug Screening.

Required per the Drug-Free Workplace Policy (OSS-HR-POL-001).

5.3 Client-Specific Screening.

Where a client, GC, or project owner requires additional screening (e.g., 10-year criminal history, federal-facility clearance, credit check for financial-handling roles), the Company will conduct the additional screening as a condition of project assignment, with separate written authorization from the employee.

6. DISCLOSURE AND AUTHORIZATION (FCRA COMPLIANCE)

Before any background screening is initiated, the Company shall provide the applicant or employee with:

6.1 A clear and conspicuous written Disclosure, in a document consisting solely of the Disclosure, stating that a consumer report may be obtained for employment purposes (in compliance with FCRA § 604(b)(2)(A));

6.2 A separate written Authorization to be signed by the applicant or employee, authorizing the Company and the CRA to procure the consumer report;

6.3 A copy of the FTC/CFPB "Summary of Your Rights Under the Fair Credit Reporting Act"; and

6.4 Where applicable, any state-specific disclosures required by Texas Business & Commerce Code, or by the law of the state in which the applicant resides.

Standalone disclosure is mandatory: The Disclosure document shall NOT contain a release of liability, employment application language, at-will statements, or any extraneous information that could distract from the disclosure required by FCRA. The Authorization may be combined with the Disclosure where state law permits; otherwise it shall be separate.

7. INDIVIDUALIZED ASSESSMENT (EEOC GUIDANCE)

The Company does not maintain a blanket policy of excluding applicants based solely on the existence of a criminal record. Where a background report returns one or more criminal records, the Policy Administrator shall conduct an individualized assessment consistent with the EEOC's 2012 Enforcement Guidance on the Consideration of Arrest and Conviction Records, considering:

- (a) The nature and gravity of the offense or conduct;
- (b) The time that has passed since the offense, conduct, and/or completion of the sentence;
- (c) The nature of the position sought, including the responsibilities, level of independent work, access to client property, and safety-sensitive nature of the role; and
- (d) Any evidence of rehabilitation, including the applicant's employment history since the offense.

Arrests that did not result in a conviction shall not, standing alone, be used as the basis for an adverse employment decision.

8. ADVERSE ACTION PROCESS (FCRA TWO-STEP)

Where the Company is considering taking adverse action (rescinding a conditional offer, declining to hire, terminating, or removing the employee from a project assignment) based in whole or in part on a consumer report, the Company shall follow the FCRA two-step process:

Step 1 — Pre-Adverse Action:

The Company shall provide the applicant or employee with: (a) a copy of the consumer report; (b) a copy of the FTC/CFPB "Summary of Your Rights"; and (c) a written Pre-Adverse Action Notice.

The Company shall then wait a minimum of **five (5) business days** before taking final adverse action, to provide the applicant or employee a reasonable opportunity to dispute the accuracy or completeness of the report directly with the CRA.

Step 2 — Final Adverse Action:

If, after the waiting period, the Company decides to proceed with the adverse action, the Company shall provide a written Adverse Action Notice including: (a) the name, address, and phone number of the CRA; (b) a statement that the CRA did not make the decision and cannot provide reasons; (c) notice of the right to dispute and obtain a free copy of the report within 60 days; and (d) any additional disclosures required by applicable state law.

9. CONFIDENTIALITY AND RECORD RETENTION

9.1 All consumer reports and related screening records are confidential and shall be maintained separately from the employee's general personnel file, accessible only to Company personnel with a legitimate business need.

9.2 The Company shall retain background screening records for a minimum of five (5) years from the date of the report, or for the duration of the employment relationship plus one year, whichever is longer.

9.3 All disposal of consumer report information shall comply with the FTC Disposal Rule (16 CFR Part 682), including secure shredding of physical records and secure deletion of electronic records.

10. RE-SCREENING

The Company may re-screen current employees where:

- (a) Required by a specific client, project owner, or applicable law;
- (b) The employee is being considered for promotion or transfer to a position with materially different responsibilities;
- (c) The Company has reasonable basis to believe an event has occurred that would have disqualified the employee under this Policy; or
- (d) On a periodic basis, not less frequently than every three (3) years, for employees assigned to safety-sensitive positions or restricted-access client sites.

Re-screening shall follow the same Disclosure and Authorization process as initial screening.

11. SUBCONTRACTORS

All subcontractors performing work on Oak Shield project sites shall maintain a background screening program substantially equivalent to this Policy, and shall warrant that each of their personnel assigned to the project has cleared the required screening prior to site access. Subcontractor non-compliance may result in immediate removal from the project site and termination of the subcontract.

12. EQUAL OPPORTUNITY

The Company is an Equal Opportunity Employer. This Policy shall be applied consistently and without regard to race, color, religion, sex, national origin, age, disability, genetic information, veteran status, or any other protected characteristic under federal, Texas, or local law. The Company will provide reasonable accommodation in the screening process where required by the Americans with Disabilities Act or other applicable law.

13. POLICY ADMINISTRATION

The Policy Administrator is responsible for:

- (a) Engaging and managing the relationship with the CRA;
- (b) Ensuring all Disclosure, Authorization, Pre-Adverse Action, and Adverse Action documents are current and FCRA-compliant;
- (c) Conducting and documenting individualized assessments;
- (d) Maintaining records in accordance with Section 9;
- (e) Reviewing this Policy at least annually for changes in law, regulation, or client requirements; and
- (f) Training hiring managers on FCRA compliance.

14. COMPLIANCE WITH APPLICABLE LAW

This Policy is intended to comply with all applicable federal, Texas, and local law, including the Fair Credit Reporting Act (15 U.S.C. § 1681 et seq.), Title VII of the Civil Rights Act of 1964, the Americans with Disabilities Act, the Age Discrimination in Employment Act, and applicable Texas Business & Commerce Code provisions. In the event of any conflict between this Policy and applicable law, applicable law shall control.

This Policy does not create an employment contract or alter the at-will employment relationship between Oak Shield Service LLC and its employees.

15. APPROVAL

Xinchao Xi, President

Date

Oak Shield Service LLC

END OF POLICY

ATTACHMENT A

Disclosure and Authorization Regarding Background Investigation

Note: This Disclosure must be a standalone document under FCRA §604(b)(2)(A). The Company's CRA (Sterling Talent Solutions or Checkr) will provide its own FCRA-compliant version; this attachment is provided as the Company's reference template.

DISCLOSURE

Oak Shield Service LLC ("the Company") may obtain information about you from a consumer reporting agency for employment purposes. Thus, you may be the subject of a "consumer report" and/or an "investigative consumer report" which may include information about your character, general reputation, personal characteristics, and/or mode of living, and which can involve personal interviews with sources such as your neighbors, friends, or associates. These reports may contain information regarding your criminal history, social security number trace, motor vehicle records, verification of your education or employment history, professional license verifications, and other background information.

The consumer report will be obtained from a consumer reporting agency, currently:

[INSERT CRA NAME — e.g., Sterling Talent Solutions, Inc., or Checkr, Inc.]

[INSERT CRA ADDRESS]

[INSERT CRA PHONE]

[INSERT CRA WEBSITE]

You have the right, upon written request made within a reasonable time, to request whether a consumer report has been run about you, and disclosure of the nature and scope of any investigative consumer report. You will also be provided a written summary of your rights under the Fair Credit Reporting Act.

AUTHORIZATION

I have read and understand the above Disclosure. By my signature below, I authorize Oak Shield Service LLC, and its designated consumer reporting agency, to procure a consumer report and/or investigative consumer report on me for employment purposes, including consideration for employment, project assignment, and during the course of my employment as permitted by law.

I understand that this authorization shall remain valid throughout my employment with Oak Shield Service LLC, to the extent permitted by applicable law.

Applicant / Employee Printed Name

Applicant / Employee Signature

Date

Last 4 of SSN:

Date of Birth:

(for identity matching)

Attach: FTC/CFPB "Summary of Your Rights Under the Fair Credit Reporting Act" — provided separately.

ATTACHMENT B

Pre-Adverse Action Notice (Template)

Date: _____

Applicant / Employee Name: _____

Address: _____

Re: Background Check Results

Dear [Applicant / Employee Name]:

Oak Shield Service LLC recently received a consumer report prepared by [CRA Name] in connection with your application for employment or current employment. A copy of that report is enclosed with this notice, together with a copy of the "Summary of Your Rights Under the Fair Credit Reporting Act."

We are considering taking adverse action against your employment application or employment, based in whole or in part on information contained in this report. **No final decision has been made.**

If you believe the report contains inaccurate or incomplete information, you have the right to dispute it directly with [CRA Name] at the contact information provided in the enclosed materials. You may also provide Oak Shield Service LLC with any information you believe is relevant to our consideration, including information about the accuracy of the report, mitigating circumstances, or evidence of rehabilitation.

We will wait a minimum of **five (5) business days** from the date of this notice before taking any final action, to provide you a reasonable opportunity to respond.

If you have questions, please contact:

[Policy Administrator Name]

[Title]

[Phone]

[Email]

Sincerely,

[Name]

Oak Shield Service LLC

Enclosures:

- (1) Copy of consumer report
- (2) Summary of Your Rights Under the FCRA

ATTACHMENT C

Adverse Action Notice (Template)

Note: Must be dated at least five (5) business days after the Pre-Adverse Action Notice.

Date: _____

Applicant / Employee Name: _____

Address: _____

Re: Notice of Adverse Action

Dear [Applicant / Employee Name]:

This is to inform you that, after careful consideration, Oak Shield Service LLC has decided to [rescind the conditional offer of employment / decline to hire you / take other adverse action] based, in whole or in part, on information contained in the consumer report prepared by [CRA Name].

Required disclosures under the Fair Credit Reporting Act:

1. The consumer report was prepared by:
[CRA Name]
[CRA Address]
[CRA Toll-Free Phone]
[CRA Website]
2. [CRA Name] did not make this adverse decision and is unable to provide you with the specific reasons for it.
3. You have the right to obtain, free of charge, an additional copy of the consumer report from [CRA Name] within sixty (60) days of receiving this notice.
4. You have the right to dispute, directly with [CRA Name], the accuracy or completeness of any information in the report.

A copy of the "Summary of Your Rights Under the Fair Credit Reporting Act" was previously provided to you with the Pre-Adverse Action Notice. Another copy is enclosed for your reference.

We appreciate your interest in Oak Shield Service LLC.

Sincerely,

[Name]

Oak Shield Service LLC

Enclosure: Summary of Your Rights Under the FCRA

ATTACHMENT D

Individualized Assessment Worksheet

(EEOC 2012 Enforcement Guidance Compliance — Internal Use)

Required whenever a background report returns a criminal record and the Company is considering adverse action. Must be retained and produced upon EEOC audit.

Applicant / Employee Name:

Position Applied For:

Date of Assessment:

Assessor:

A. Nature and Gravity of the Offense

Offense(s) of Concern (list each separately):

1.

Offense:

Conviction Date:

Felony / Misdemeanor / Other:

Sentence:

Sentence Completion Date:

2. (repeat as needed)

Offense:

Conviction Date:

Felony / Misdemeanor / Other:

Sentence:

Sentence Completion Date:

Severity Assessment (check all that apply):

- ☐ Violent offense
- ☐ Property / theft offense
- ☐ Drug-related offense
- ☐ Financial / fraud offense
- ☐ Sex-related offense
- ☐ Other: _____

B. Time Elapsed

Years since offense: _____

Years since sentence completion: _____

Employment history since offense:

C. Nature of Position

Position responsibilities (check all that apply):

- ☐ Access to client premises / restricted-access sites
- ☐ Driving Company or client vehicles
- ☐ Handling Company or client property / cash
- ☐ Independent / unsupervised work
- ☐ Safety-sensitive (high-voltage, height, confined space)
- ☐ Supervisory responsibilities
- ☐ Customer / public-facing
- ☐ Other: _____

Relationship of offense to position:

- ☐ Direct relationship (e.g., theft offense for cash-handling role)
- ☐ Indirect / partial relationship
- ☐ No clear relationship

D. Evidence of Rehabilitation (if provided by applicant)

Stable employment history: ☐ Yes ☐ No

Completion of treatment / counseling: ☐ Yes ☐ No

Education / training since offense: ☐ Yes ☐ No

Character references: ☐ Yes ☐ No

Other mitigating factors:

E. Decision

- ☐ Proceed with employment / project assignment
- ☐ Proceed with restrictions: _____
- ☐ Do not proceed (initiate Pre-Adverse Action Notice process)

Rationale (specific facts, in assessor's own words):

Assessor Signature

Date

President / HR Lead Signature

Date

Attach: copy of background report; copy of any applicant response. File confidentially — separate from personnel file.